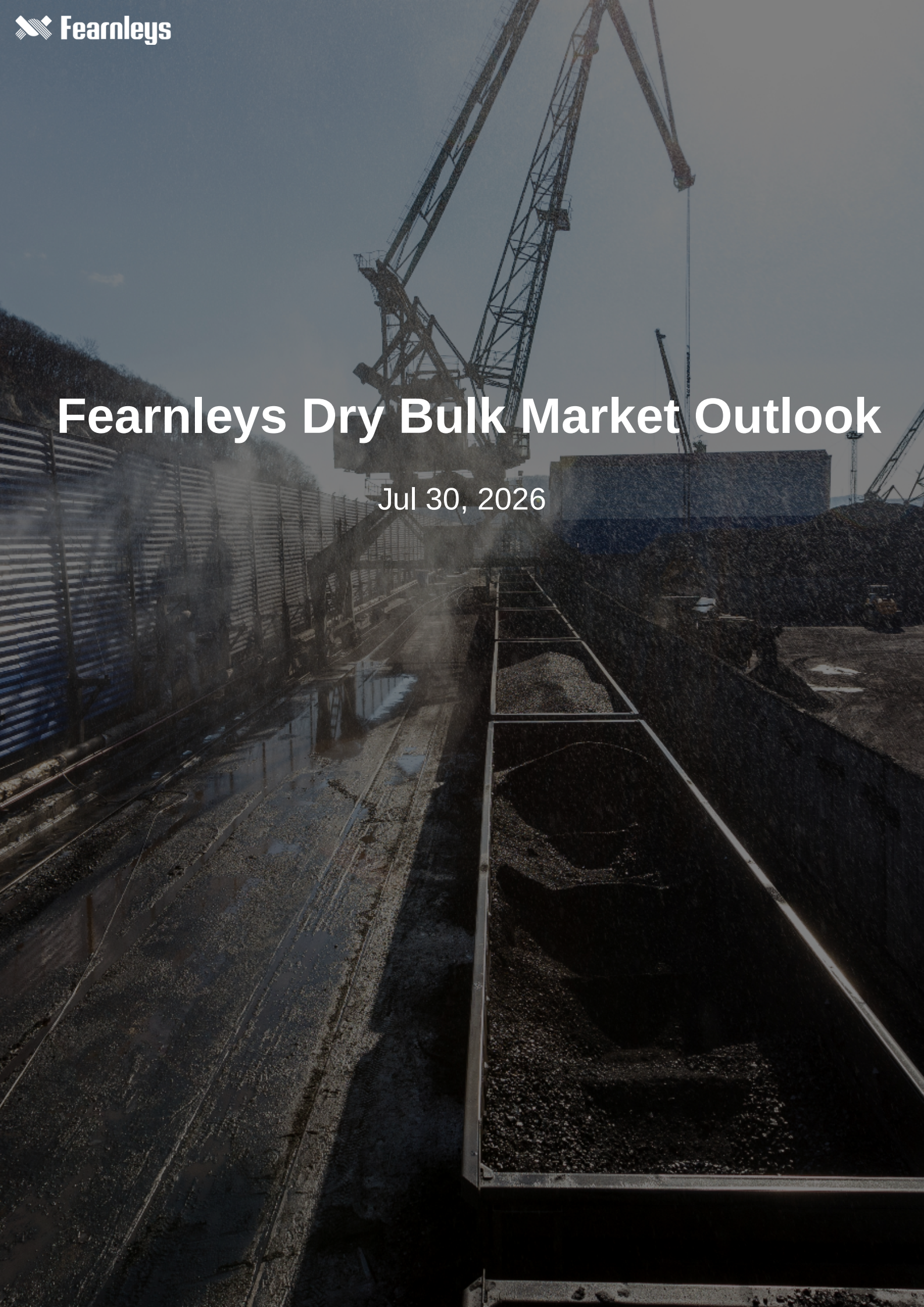


Fearnleys Dry Bulk Market Outlook

Jul 30, 2026



SUMMARY AND OUTLOOK

In our previous update sent in late June, we wrote:

Since our previous report, oil prices have dropped significantly. Based on the correlation between oil prices and BDI, included, as usual, in the final page of this report, the outlook for the second half of 2027 has thus improved considerably. That said, the volatility in energy markets and the complicated physical fundamental situation are unusual, so leading indicators like the one we use might not be as accurate as previously going forward. Regardless, the point is that low oil prices are good for economic growth, and vice versa. Coal volume growth has increased notably in the last few months. An opening of the Strait of Hormuz is a relief for macro but suppresses the upside potential in coal. Industrial metals prices have fallen over the last month, suggesting that global industrial activity is struggling to maintain upward momentum and may even be declining. That is especially the case in China, where iron ore and steel consumption remain lower than last year, and inventories remain higher. Global credit growth rates continue to fall, as reflected by a strengthening US dollar index. The dollar index correlates tightly with dry bulk volume growth and clearly suggests volume growth will continue to fall in the next few months.

Since our last report, oil prices have increased significantly, as a lasting solution between the US/Israel and Iran still seems far off. The recent rise in oil prices has caused the year-on-year change to increase from 0% in June to above 30% in July. The last few years' correlation between the year-on-year change of oil prices and the BDI thus suggests a negative development through the first half of 2027 (chart as usual shown on the last page of this report). Notwithstanding that negative outlook, Brent oil prices have averaged about 100 dollars per barrel since the Hormuz Strait closed. That price level calculates to an "oil expenditure to GDP ratio" of about 3%, which is the average ratio since 1970. In other words, we are still far from a global energy crisis by that measure, which is positive, relatively speaking.

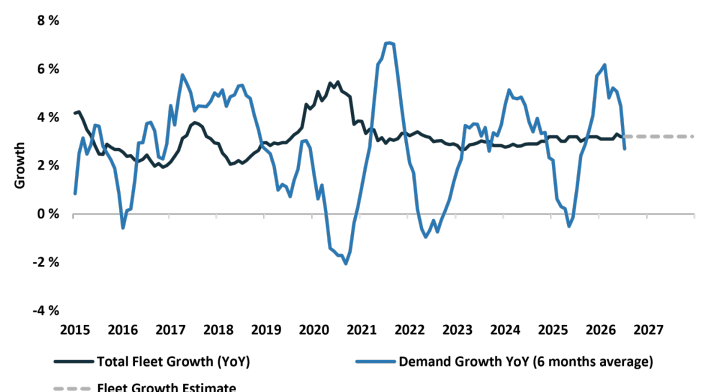
Iron ore fundamentals look weaker than they did a month ago. Steel mill profitability in China has fallen sharply, reaching its lowest level since September 2024, making a reduction in hot metal output very likely. In late 2024, the Cape/Newc market weakened significantly; with iron ore fundamentals now resembling that period, the risk of a similar market development is considerable. **Minor bulk** shipment growth has followed a similar path to iron ore, as global manufacturing momentum has faded. A stronger US dollar, higher US government bond yields, lower precious and industrial metals prices, and higher energy and grain prices all point to an emerging economic downcycle, suggesting that minor bulk shipment growth will decline going forward. The outlook for **grains shipments** is also not looking too bright according to the International Grains Council. **Coal** remains a different story, but seaborne supply remains a constraint, evident by the fact that shipments in the first half of this year were lower than in the first half of 2024. Still, the current energy market situation likely means supply will increase going forward.

Overall, we think the spot market levels in May were the peak of this year. The Cape/Newc and Panamax/Kamsarmax segments seem to be on a "lower highs and lower lows" trajectory since then. The Supra/Ultra market has, over the last couple of weeks, displayed signs of weakness, and the Handysize market struggled to follow the Supra/Ultra market push in the first weeks of July, which is unusual and can be taken as a sign that fundamentals have softened.

Earnings Forecasts 26 and 27

Year	BCI5TC	BPI5TC	BSI11TC	BHSI 7TC
2026	25–30 USD pd	15–17 USD pd	16–18 USD pd	13–15 USD pd
2027	20–25 USD pd	12–15 USD pd	12–15 USD pd	10–13 USD pd

Dry Bulk Shipment Volume Growth vs Supply Growth (All Segments)





Fleet Statistics (In Million DWT)

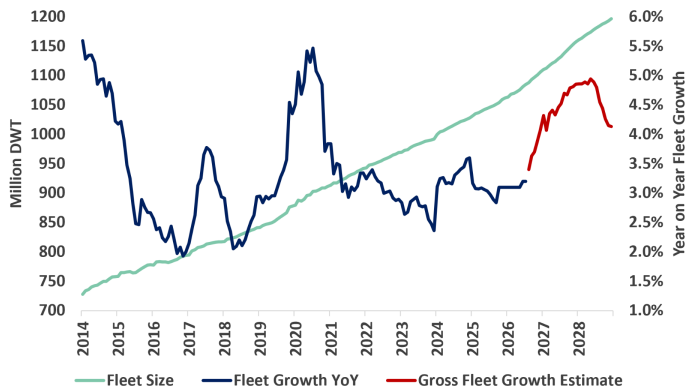
	Total Fleet	CapeNewc	Pmx/Kmx	Smx/Umx	Handy
2025					
Deliveries	36	7.2	9.9	13.1	5.8
Scrapping	3.7	1	1.3	0.1	1.1
Fleet Growth	3.0%	1.9%	3.3%	5.2%	4.1%
2026 YTD					
Deliveries	25	4	9.3	7.9	3.5
Remaining on Schedule	21	5.2	7.3	6	2.3
Scrapping	2.1	0.6	0.5	0.2	0.9
YoY Fleet Growth (Jul)	3.2%	1.8%	4.2%	5.5%	3.1%



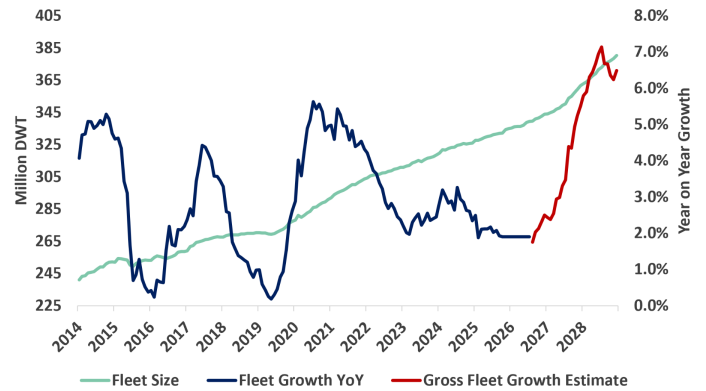


Fleet Growth and Forward Estimates (ex Scrapping and Delivery Delays or Cancellations)

Total Gross Fleet Growth Including Estimate



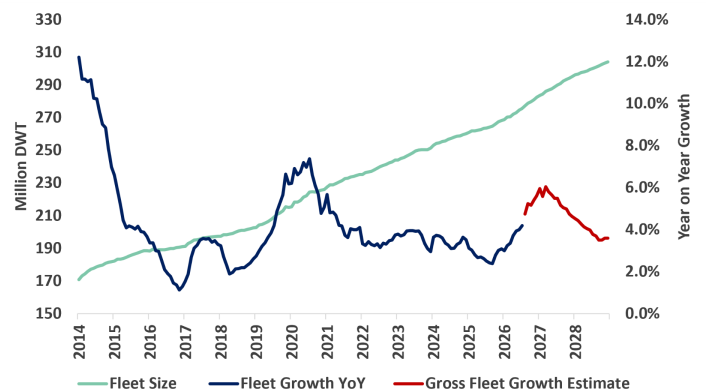
Cape/Newc Gross Fleet Growth Including Estimate



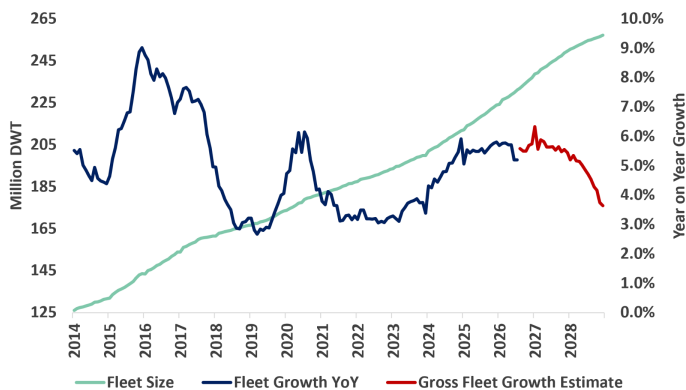
VLOC Fleet Gross Growth Including Estimate



Panamax/Kamsarmax Gross Fleet Growth Including Estimate



Supramax/Ultramax Gross Fleet Growth Including Estimate



Handysize Fleet Gross Growth Including Estimate



PERIOD RATES AND ASSET VALUES

In our previous report in late June, we wrote:

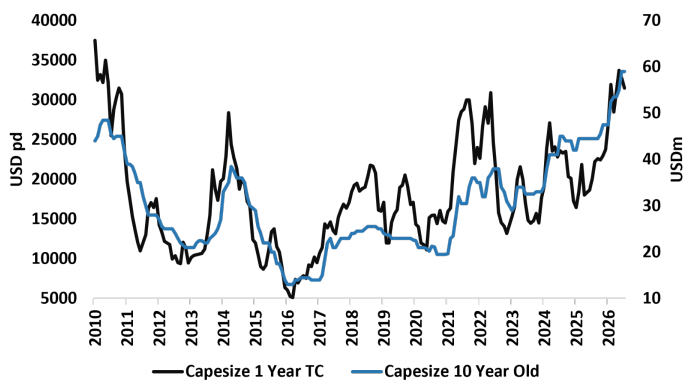
Values ex-Capes/Newcs have risen above the heights of 2024, following the development in 1-year TC rates. Further value increases now are hard to expect, given the correction in chartering markets.

Newbuilding prices keep increasing, and going forward, the next year and a half, we do not see any major change to the general asset value situation/regime. I.e. if we are correct that chartering markets are in for a weaker period, the downside should be limited to the lows seen last year.

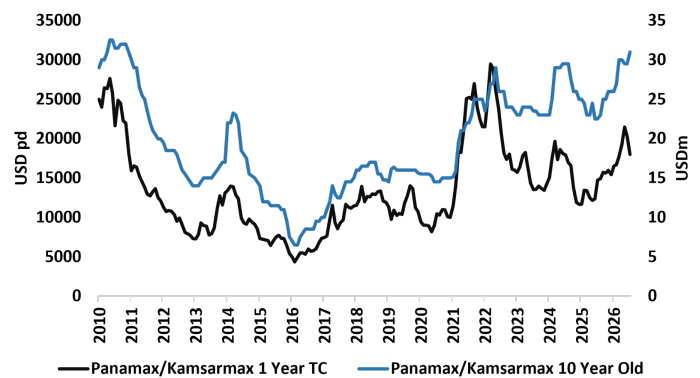
In the case of Capes and Newcs, the situation is different and more complicated. As values kept climbing last year despite lower average earnings than in 2024, comparisons are harder to make. Capes/Newcs values have tracked the longer end of the futures curve in the last 5 years, so it seems a significant change has to happen there for there to be a significant change to values.

Values increased slightly in July, as period rates increased for all segments at the start of July except Panamax/Kamsar-max, despite falling spot rates. However, in the last couple of weeks, period markets have softened a bit in the Handysize and Ultramax segments, whereas Capes/Newc remain around year-to-date highs still.

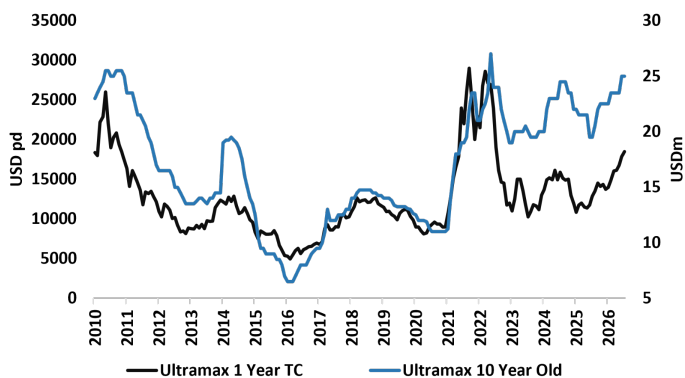
Capesize 1 Year TC vs Capesize 10 Year Old (Japanese)



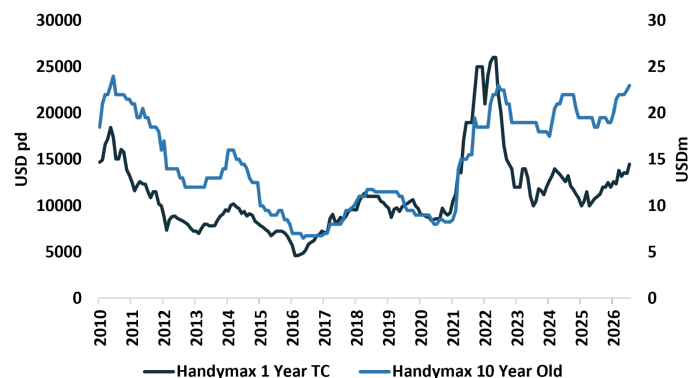
Panamax/Kamsar-max 1 Year TC vs Panamax/Kamsar-max 10 Year Old (Japanese)



Supramax/Ultramax 1 Year TC vs Supramax/Ultramax 10 Year Old (Japanese)



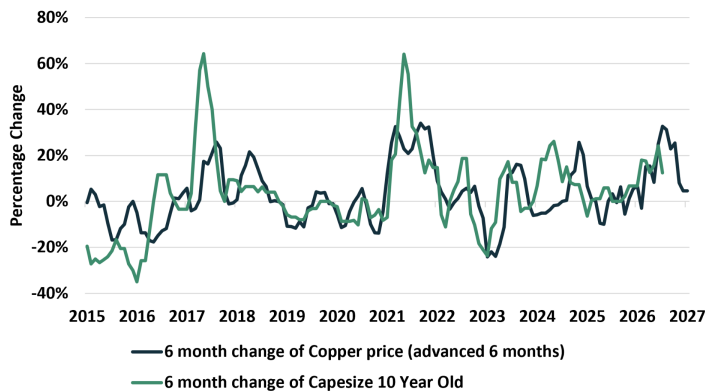
Handysize 1 Year TC vs Handysize 10 Year Old (Japanese)



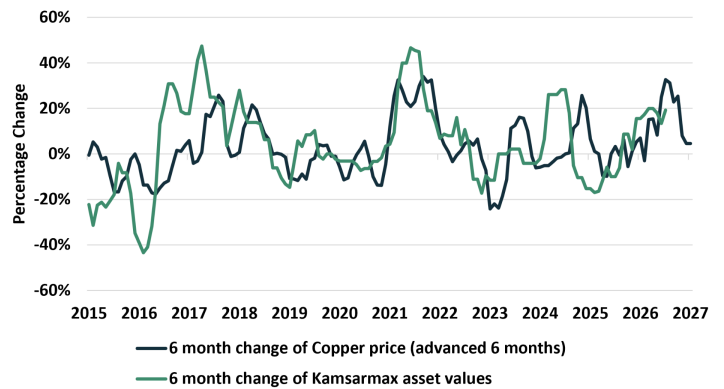
Asset Values vs Commodity Prices

Since April, our view has been that values would peak between May and July. Our value assessments have increased each of the last few months, so for our prediction to be correct, values must trend sideways or downwards from now on. The correlations with copper prices and industrial metals in general clearly suggest that upward momentum has peaked, but also that there will not be a major correction for the remainder of this year. The loss of upwards momentum in industrial metals prices are also seen in spot markets, where the highs of May seems hard to surpass now for Capes and Panamax, whereas recent weakness have appeared in the Ultramax and Handysize segments as well.

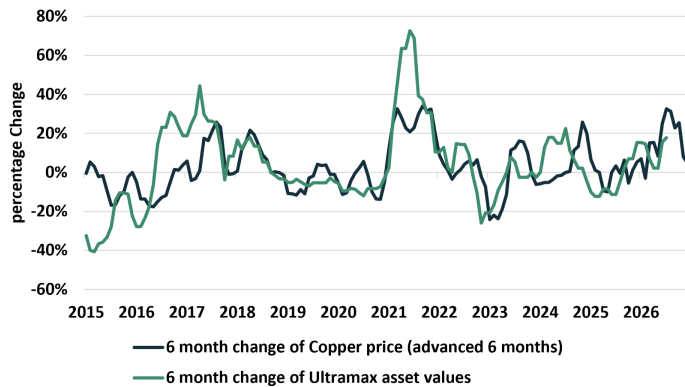
Copper Price 6 Months Change (Lead 6 Months) vs Capesize 10 Year Old



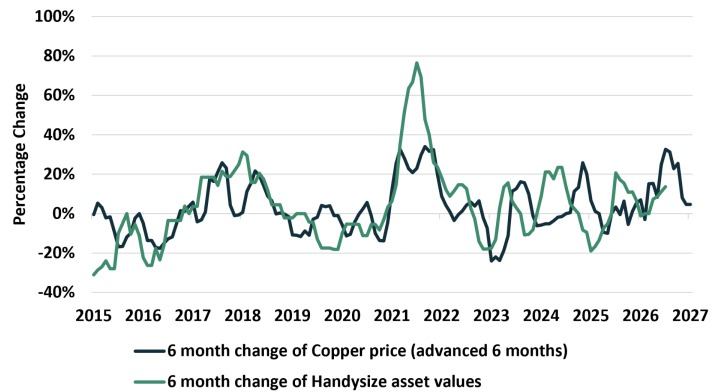
Copper Price 6 Months Change (Lead 6 Months) vs Kamsarmax 10 Year Old



Copper Price vs Ultramax 10 Year Old



Copper Price vs Handysize 10 Year Old



S&P Global, FRED, Fearnleys



TRADE FLOWS YEAR ON YEAR GROWTH

	Iron Ore	Coal	Grains	Others	Total
Mar-25	1%	-6%	-4%	14%	2.6%
Apr-25	1%	-6%	-6%	8%	1.0%
May-25	4%	-12%	1%	9%	0.6%
Jun-25	1%	-10%	-2%	7%	-0.9%
Jul-25	4%	2%	7%	12%	6.3%
Aug-25	5%	-2%	10%	5%	4.4%
Sep-25	4%	0%	20%	8%	5.1%
Oct-25	14%	-3%	-1%	3%	4.6%
Nov-25	6%	-3%	9%	8%	4.5%
Dec-25	12%	3%	21%	11%	9.2%
Jan-26	10%	0%	14%	8%	7%
Feb-26	7%	-1%	11%	7%	6%
Mar-26	-9%	-3%	11%	-2%	-3%
Apr-26	7%	7%	17%	2%	7%
May-26	0%	10%	14%	-4%	3%
Jun-26	-3%	12%	9%	3%	5%

	100 - 220 KDWT	25 - 100 KDWT		Far East	India + MEG	Southeast Asia
Mar-25	-2%	5%	Mar-25	-7%	-1%	10%
Apr-25	0%	0%	Apr-25	-1%	5%	5%
May-25	1%	0%	May-25	-2%	4%	3%
Jun-25	-2%	0%	Jun-25	-1%	6%	6%
Jul-25	3%	8%	Jul-25	-1%	9%	-3%
Aug-25	-1%	6%	Aug-25	4%	10%	1%
Sep-25	4%	7%	Sep-25	8%	19%	0%
Oct-25	14%	0%	Oct-25	0%	6%	6%
Nov-25	0%	7%	Nov-25	3%	15%	0%
Dec-25	12%	7%	Dec-25	6%	4%	6%
Jan-26	11%	6%	Jan-26	10%	2%	9%
Feb-26	9%	4%	Feb-26	6%	12%	3%
Mar-26	-3%	-2%	Mar-26	6%	-10%	8%
Apr-26	11%	5%	Apr-26	-5%	-16%	14%
May-26	4%	4%	May-26	4%	-12%	16%
Jun-26	-1%	8%	Jun-26	9%	-15%	14%

MACRO ECONOMIC OUTLOOK

This page gives brief comments on what the charts on the next page tell us. We have pointed to an increasingly bearish picture being painted for the second half of this year and the next year over the last months. Shipment volume growth has tumbled sharply, and the next page's indicators suggest this development will continue.

Top left chart:

The BDI year-on-year change has been strongly positive since September last year, as usual, lagging behind increased credit growth in China.

However, the credit growth rate has tumbled sharply during the last few months, which suggests a negative BDI development going forward. Interest rates and reserve requirement ratio changes do not point to any imminent turnaround in China's liquidity conditions.

Top right chart:

Except for a decoupling in 2024, the change in bond yields in China and the US has been a good leading indicator for dry bulk demand growth. This year it has so far called the demand growth development perfectly, as growth has tumbled sharply following the peak in Q2.

Middle left chart:

Lower crude oil prices are bullish for economic growth, and vice versa. The chart displays that since 2017, there has been a tight correlation between lower year-on-year oil prices and a higher year-on-year BDI, with the oil price change leading by 1 year.

Lower oil prices suggest the BDI could remain positive year-on-year throughout 2026. However, the increase in oil prices since late February suggest the market will be lower during the first half of next year.

Middle right chart:

The OECD diffusion index momentum keeps falling, and suggest the year on year change of the BDI will turn less and less positive over the coming six months.

Bottom left chart:

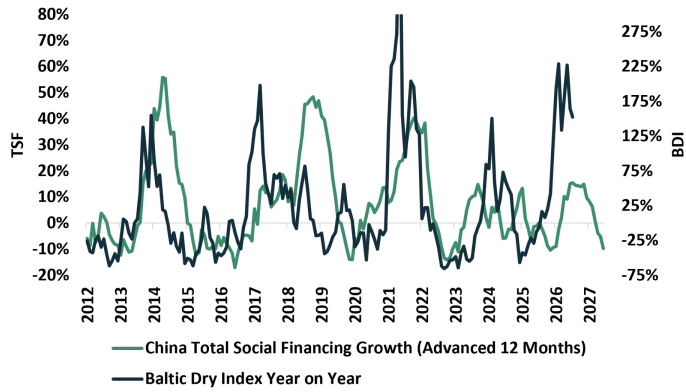
The OECD diffusion index correlation with the BDI is very high, as usual. The OECD index reading is comparable to previous cycle peaks. The index seems to be tipping over, as the reading has fallen from 18 between January and April to 16 in June.

Bottom right chart:

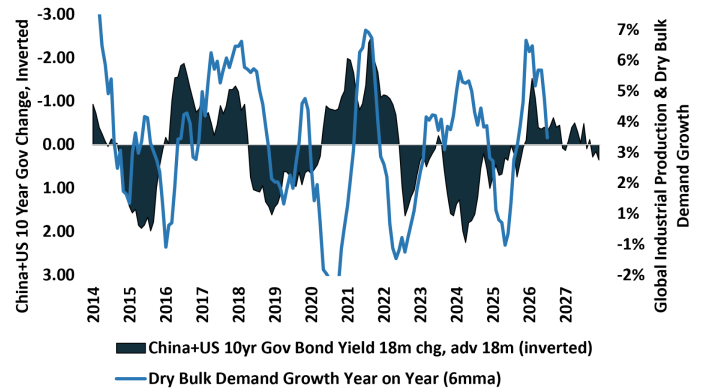
Shipment volume growth has, as usual, tracked the development of the US dollar index (a very good proxy for global liquidity conditions).



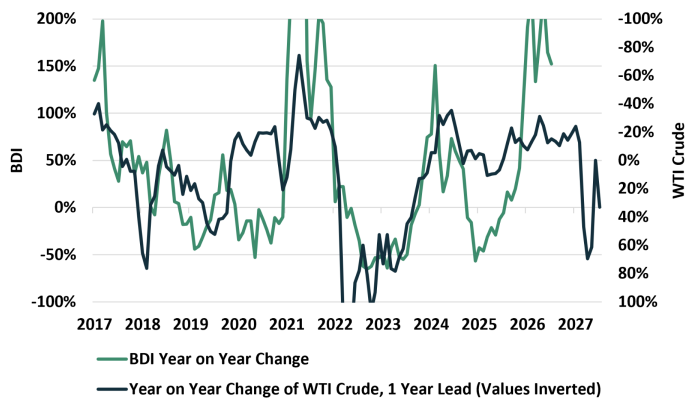
Baltic Dry Index Year on Year Change vs China Credit Growth (12 Months Lead)



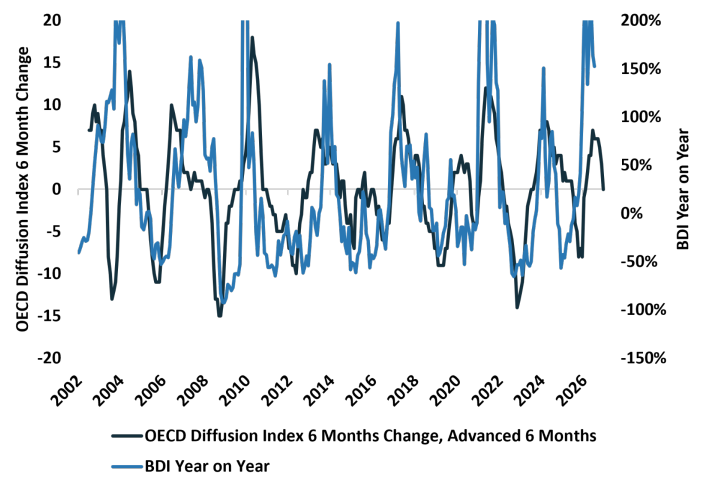
China + US Gov Bond Yield Change, 18 Months Lead. vs Dry Bulk Demand Growth



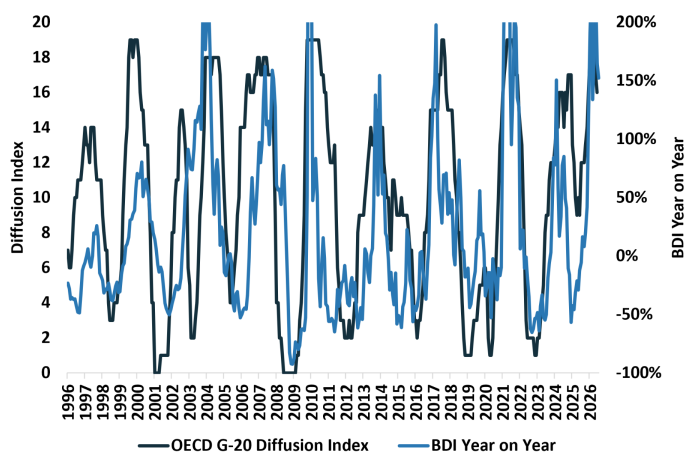
WTI Crude Oil Price YoY, 1 Year Lead vs BDI YoY



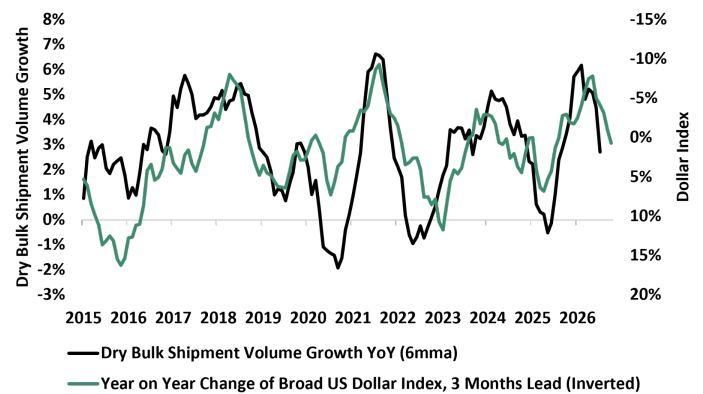
OECD Diffusion Index 6 Months Change vs BDI YoY



OECD G-20 Diffusion Index vs BDI YoY



Broad US Dollar Index Year on Year vs Dry Bulk Shipment Volume Growth





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